MARKETING RESEARCH PROJECT

Reaching Every Shelf:

Danone Egypt's Distribution and Availability Challenge

Applying Malhotra's Marketing Research Process (Chapters 1 to 5)

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EMBA Program | 2026 • Final data: consumer survey N = 35

ROADMAP

What This Project Covers

1 **The Problem**

Danone's reach gap vs Juhayna

2 **Problem Definition**

Decision problem, research problem, hypotheses

3 **Research Design**

Exploratory + descriptive, secondary data

4 **Qualitative Research**

Depth interviews with shop owners

5 **The Survey & Results**

Live consumer survey, N = 35, findings

6 **Recommendations**

Answering the management question

THE PROBLEM

Danone Reaches Far Fewer Shops Than Juhayna

In Egypt's dairy market the battle is won at the small grocery store. Juhayna's vast owned fleet puts it on far more shelves than Danone.

~243,000

outlets reached by Juhayna

~100,000

points of sale reached by Danone

~40-60%

coverage gap vs Juhayna

Why it matters

Small traditional grocers are 96.6% of all outlets and about 74% of dairy sales. When Danone is not on the shelf, shoppers simply buy whatever brand is there.

CHAPTER 1

The Marketing Research Process We Followed

1. **Define the problem**
2. **Develop an approach**
3. **Design the research**
4. **Collect the data**
5. **Analyze the data**
6. **Report findings**

How this maps to our report: Steps 1-2 are Chapter 2, Step 3 is Chapter 3, Step 4 is Chapters 4 and 5 (interviews + survey), Steps 5-6 are the analysis and this report.

CHAPTER 1

The Company and the Market

Danone Egypt

- Competes in dairy: yogurt, Activia, and Danette desserts
- Strategy built on premium, branded, value-added products
- Activia grew in 2024 on a gut-health and immunity message
- Competes through brand strength, not mass reach

The Egyptian Dairy Market

- Worth about USD 2.37 billion in 2024 and growing fast
- Crowded: Juhayna, Domty, Almarai/Beyti, Lactalis, Danone
- Local champions are vertically integrated and low cost
- Traditional small shops dominate distribution and sales

Defining the Problem

Management Decision Problem

What should management DO?

“Should Danone Egypt expand its distribution reach to compete with Juhayna's coverage in the Egyptian dairy market?”

Marketing Research Problem

What INFORMATION do we need?

Determine how limited availability affects consumers' yogurt choices and Danone's lost sales, and identify the distribution barriers from the retailer's side.

CHAPTER 2

Research Questions and Hypotheses

We test four hypotheses with the survey data:

H1 Availability significantly influences which yogurt brand consumers choose.

H2 Danone's perceived availability is significantly lower than Juhayna's.

H3 Many consumers have switched away from Danone because it was not available.

H4 The availability gap is wider in rural areas than in major cities.

CHAPTER 3

Research Design: A Combination Approach

Exploratory

Understand the issue

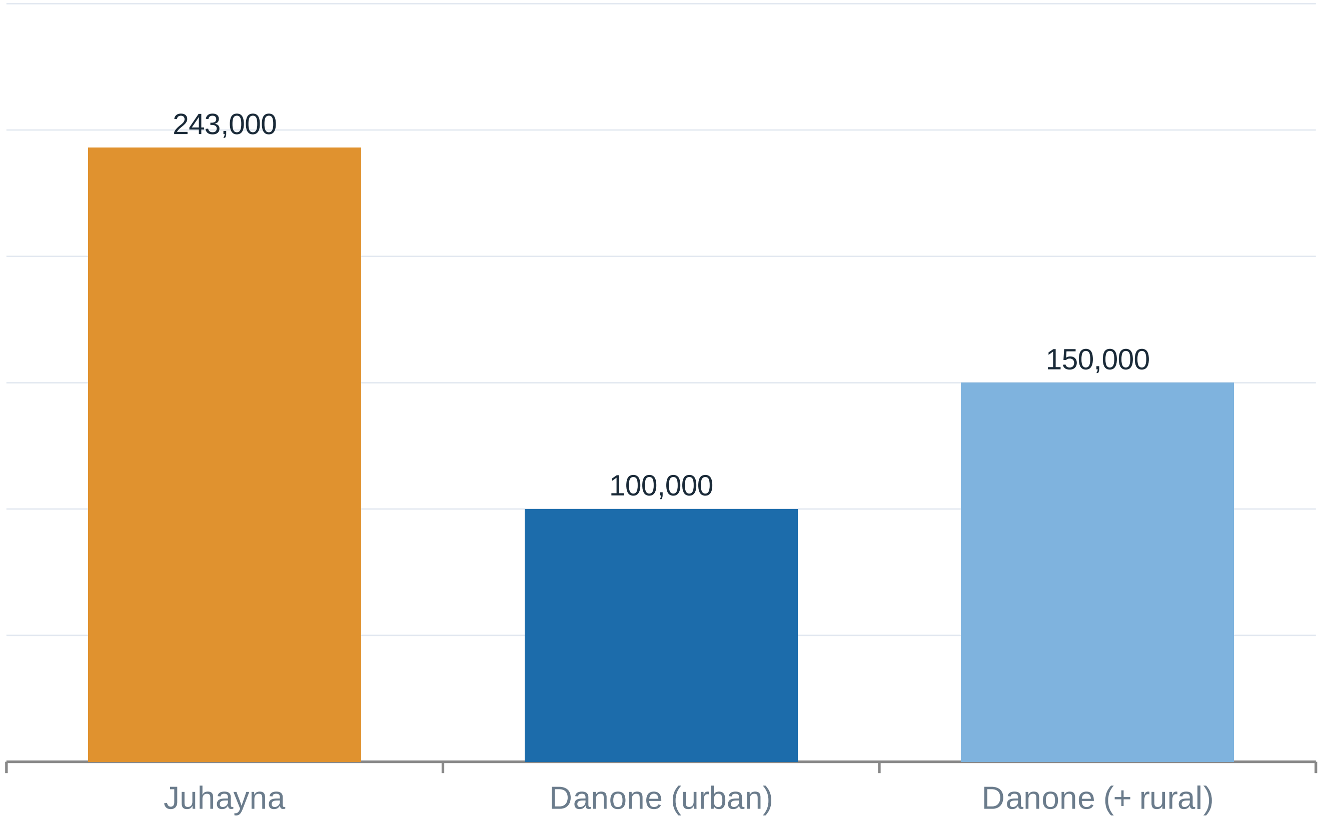
- Secondary data on the dairy market and distribution networks
- Qualitative depth interviews with small-shop owners
- Shapes and sharpens the survey questions

Descriptive

Quantify the relationships (cross-sectional)

- A single structured consumer survey
- Measures availability, brand choice, and switching
- Tests the four hypotheses with real respondents

Secondary Data: The Distribution Gap



By the numbers

- Juhayna: 39 distribution centers, 1,000+ vehicles
- Danone: 31 centers (7 direct, 24 indirect)
- Danone rural reach via ~380 micro-distributors
- Juhayna's network is hard and costly to replicate

The Small Shop Decides the Game

96.6%

of all retail outlets in Egypt

74%

of total dairy sales

113,724

traditional grocers nationwide

$2.37B

dairy market size, 2024

When the decisive channel is the neighbourhood shop, shelf presence is everything.

Why Juhayna Wins the Shelf

Five retailer depth interviews, from city centre to village (illustrative composites). Five themes recur.

Rep / van visits	Juhayna calls weekly to twice-weekly, to the door. Danone ranges from once a week in a big Cairo shop to never in the village.
Delivery	Juhayna delivers and stacks. Danone usually must be collected from a wholesaler, which lone and rural shops cannot do.
Risk terms	Juhayna: small minimums, light credit, takes back near-expiry stock. Danone: cash up front, larger minimum, spoilage is the grocer's loss.
The cooler	Juhayna and Almarai supply the branded fridge. Danone rarely does; in the village, cooler plus cold delivery is the whole game.
Demand pull	Customers ask by name for Activia and Danette and will wait. For plain yogurt they take whatever is on the shelf.

The gap widens monotonically: present on city main streets → "Danone stops at the big city" → simply absent in the village.

The Survey: Our Primary Data

Live electronic survey (Google Forms)

- Self-administered, in Egyptian Arabic, about 4 minutes
- Distributed via WhatsApp and social media
- Convenience and snowball sampling; target was 100 to 150
- Achieved N = 35 valid responses (pilot scale, indicative)
- Online and urban skew noted; offset by the retailer interviews

Each question earns its place

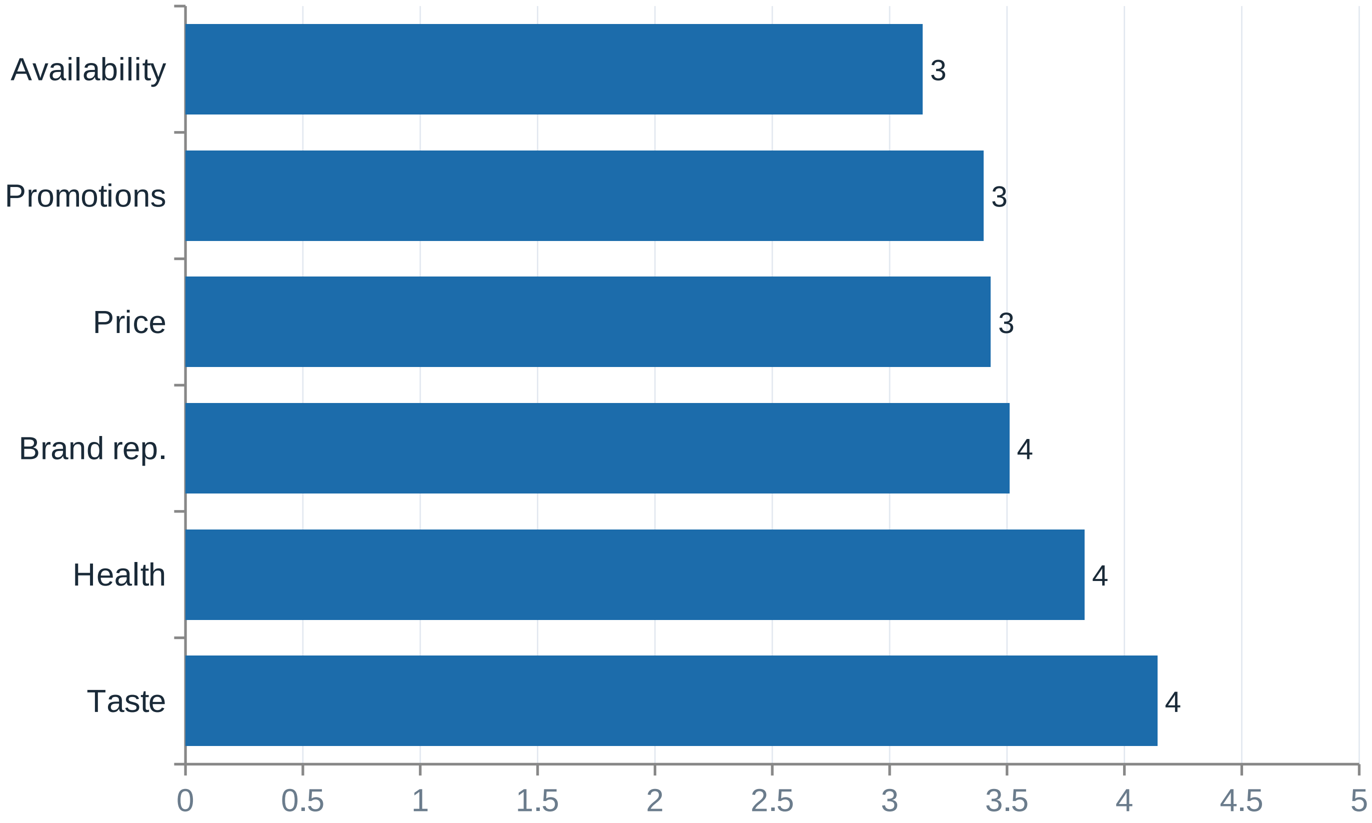
H1 - importance of availability

H2 - availability grid: Danone vs Juhayna

H3 - preferred vs actually-bought gap

H4 - availability split by area type

Who Answered, and What Drives Choice



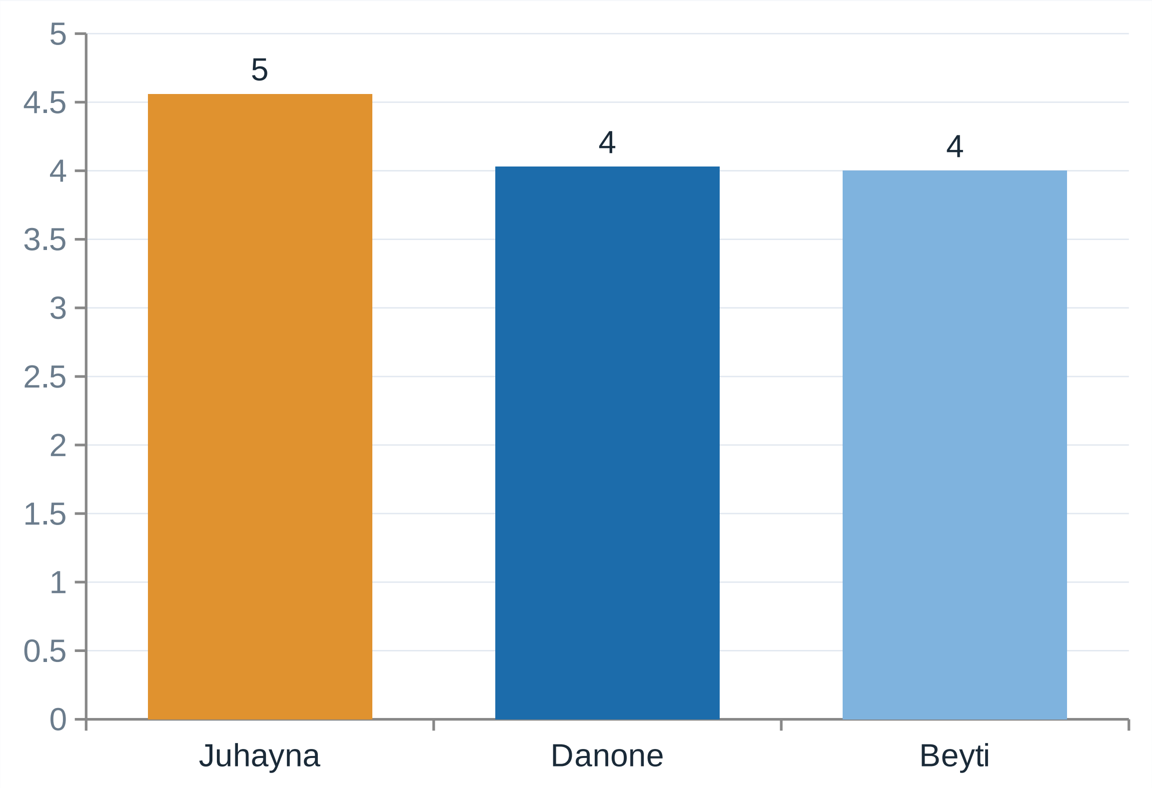
The sample (N = 35)

- Alexandria 24, Sharqia 6, Cairo 2, Dakahlia 2, Beheira 1
- Major city 23, town 10, village 2
- Only 7 (20%) buy from a small grocery, the key channel
- Skews urban and modern-trade, so it understates the gap

H1: availability ranks LAST of six drivers (3.14). It is a silent gatekeeper, not a stated preference.

The Gap Is Real, and It Costs Sales

H2 — Perceived availability (mean, 1-5)



Gap = 0.53. Modest at the consumer level, but the urban sample understates it.

H3 — Unrealised demand and switching

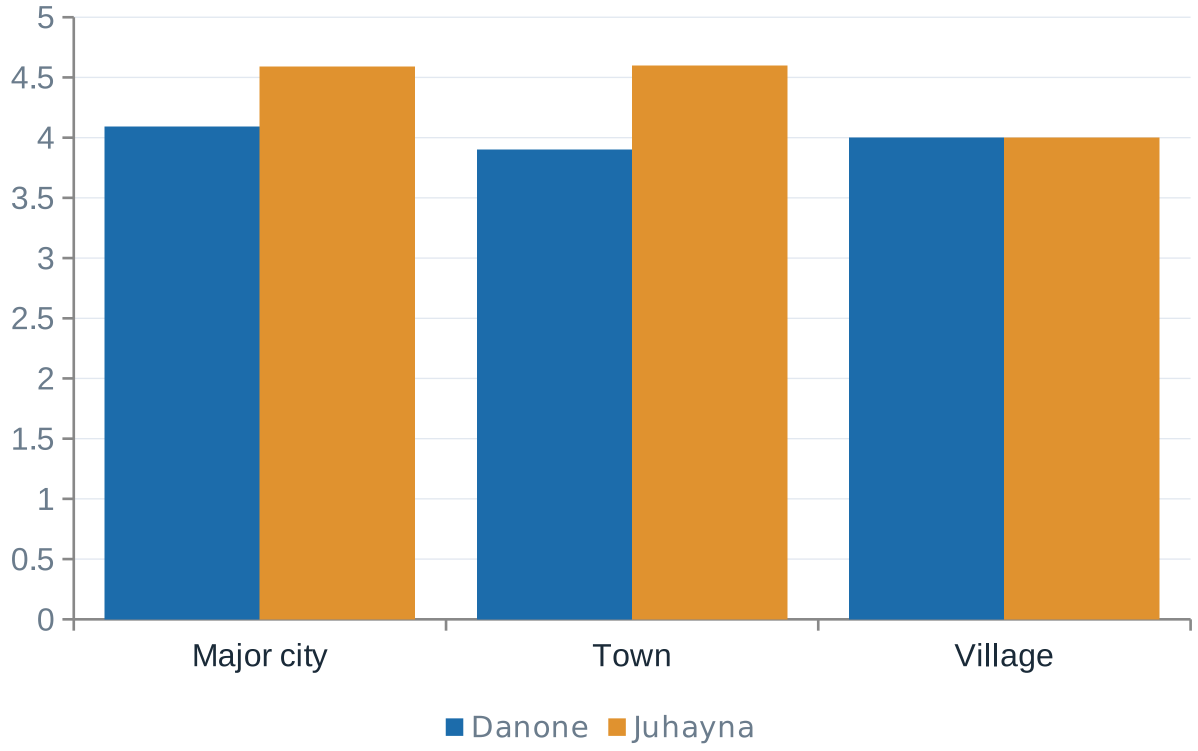
11 vs 5 — prefer Danone vs actually buy it most → a gap of 6

32 of 35 — bought a competing brand when Danone was missing

Premium line — lost sales concentrate in Activia and Danette, where buyers ask by name and will wait

By Area, and the Verdict on Each Hypothesis

H4 — Danone vs Juhayna availability by area



City-to-town dip in the survey; only 2 rural respondents, so H4 leans on the interviews.

H1 — **Not supported as a stated driver**

ranks 6th of 6 (3.14)

H2 — **Supported (modestly)**

4.03 vs 4.56, gap 0.53

H3 — **Supported**

prefer 11 / buy 5; 32 of 35 switched

H4 — **Directionally supported**

city-town dip; clear in interviews

Recommendations

The binding constraint is route-to-market, not the product. Four moves, in priority order:

Fix the route-to-market

Match Juhayna's three shelf-winning levers: scheduled rep visits, near-expiry returns or consignment, and smaller minimum orders. Not advertising.

Lead with the premium line

Push Activia and Danette first, where brand-locked demand and the best retailer margin make an availability fix pay back fastest.

Towns before villages

Densify suburban and town coverage first for quick payback, then reach the rural last mile via micro-distributors and solar coolers.

Provide the cooler

Supply the branded fridge: a merchandising asset and the precondition for stocking chilled product where power is unreliable.

Thank You

Questions and discussion

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